

FINOLEX CABLES LTD

NSE: FINCABLES | BSE: 500144 | Sector: Capital Goods — Cables & Electricals | India

Current Market Price	RATING
Rs. 1,136 52-Week Range: Rs. 701 — Rs. 1,185 Market Cap: Rs. 17,378 Cr. Report Date: 31 May 2026	ACCUMULATE 12-Month Price Target Rs. 1,400 +23.2% upside from CMP

"Deep-value rerating play on India's capex supercycle — fortress balance sheet, accelerating revenue, and a new CEO catalyst at a 46% PE discount to peers."

P/E (TTM)	Forward P/E	P/B	EV/EBITDA	ROE	ROCE
24.4x	19.4x	2.85x	17.4x	12.3%	16.0%
Book Value	Div Yield	D/E	Int Coverage	Promoter%	Face Value
Rs. 398	0.70%	0.00	532x	35.9%	Rs. 2
Promoter	FII	DII	Public	Pledge	Shares (Cr)
35.86%	9.62%	16.44%	38.10%	0.00%	15.30

Equity Research — India Institutional Desk | Analyst: Himanshu (the_chartist@chartitude.com) | Rating horizon: 12 months
Data sourced from Screener.in (fetched live 31-May-2026). Forward estimates are analyst projections. Not SEBI registered. Not financial advice.

SECTION 2 — INVESTMENT THESIS

- **Capex supercycle & data centre tailwind:** India's Rs. 111 lakh crore NIP, T&D upgrades, and data centre buildout create a 10-15% secular demand CAGR for cables over FY26-FY30. Finolex's OFC fibre-draw capacity doubling (4 to 8 Mn FKM) and preform backward integration target Rs. 600-700 Cr of incremental revenue at 8-9% OPM when fully utilised vs 2.5% currently — a 600 bps margin lift potential.
- **Fortress balance sheet + Rs. 4,195 Cr investment portfolio as hidden asset:** Net cash position of Rs. 4,176 Cr (investments minus debt) = Rs. 273/share, representing 24% of market cap. Financial investments generate Rs. 370-430 Cr of Other Income annually, cushioning earnings through margin volatility cycles. At EV/EBITDA of 17.4x vs peers at 28-35x, the market is assigning near-zero value to this financial asset base.
- **New CEO catalyst and governance signal:** Mahesh Viswanathan transitions to CEO from 1-Jun-2026. He authored the OFC capacity investment strategy, launched solar cables (now at 80-85% utilisation), and has driven product diversification. The paired Rs. 9/share dividend (highest ever) signals board conviction in cash generation. Leadership transitions at mature Indian industrials have historically been positive re-rating events.
- **Near-term catalyst (6-12 months):** Commissioning of preform plant + second fibre draw line (Q1 FY27). At full utilisation: Rs. 600-700 Cr OFC revenues at 8-9% OPM adds Rs. 48-63 Cr of incremental EBITDA — 8-10% uplift to current EBITDA base.
- **Biggest structural risk:** Copper supercycle (LME >\$12,000/T for 12+ months) combined with Adani/Birla market entry could compress gross margins to 7-8% OPM structurally, making the current earnings recovery thesis difficult to sustain without meaningful re-pricing power.

SECTION 3 — BUSINESS OVERVIEW

- Finolex Cables Ltd (FCL) is India's second-largest organised manufacturer of electrical wires and cables by market share (~24.9% in FY24), with 60+ years of brand heritage and manufacturing facilities at Pune and Roorkee.
- **Revenue segments:** (1) Electrical Cables & Wires — building wires, power cables, instrumentation, auto cables, solar cables, LT/HT (est. ~75-80% of FY26 revenues); (2) Communication Cables/OFC — metallic telecom + optical fibre cables (est. ~10-12%); (3) FMEG — fans, switches, switchgear, LED, water heaters, appliances (est. ~8-10%); (4) Copper rods — intermediate product sold internally and externally.
- **Production volumes (FY24 standalone):** Electrical cables 68,248 MT; metallic telecom cables 7,830 MT; OFC 1.71 Mn FKM. Electrical cables capacity utilisation was ~75% in FY24, leaving room for volume-led operating leverage.
- **Key customers:** Primarily retail (electricians, contractors, housing builders) and institutional (power utilities, PSUs, infrastructure players). Retail channel provides pricing premium and brand loyalty; institutional provides scale. No single-customer concentration risk.
- **Distribution strength:** 225,000+ retailer touchpoints (FY24) and 5,000+ channel partners/distributors — one of the deepest last-mile distribution networks in the sector, representing a multi-decade moat.
- **Recent strategic developments:** (1) Rs. 500 Cr capex for OFC fibre draw (4 to 8 Mn FKM) + preform plant; (2) Solar cable entry at 80-85% capacity; (3) Auto cables +42% YoY (Q3 FY26); (4) New CEO (Mahesh Viswanathan, eff. 1-Jun-2026) + CFO (Sachin Naik).
- **Promoter background:** Orbit Electricals Private Limited holds ~30.70% (dominant promoter entity). Professionally managed with stable 35.86% total promoter holding and zero pledge.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** India cables & wires market estimated at USD 12-15 Bn in FY26, growing at 10-12% CAGR to USD 25-30 Bn by FY35. Organised segment (Polycab, KEI, Finolex, R R Kabel) commands ~50% market share. Power cable demand growing at 14-16% on renewable energy + data centre infrastructure.

- **Policy tailwinds:** (1) National Infrastructure Pipeline Rs. 111 lakh Cr; (2) India 500 GW renewable energy + HVDC transmission; (3) Bharatnet Phase 3 OFC rollout; (4) PLI-linked electronics/EV manufacturing cable demand; (5) PM Awas Yojana mass housing creating wiring demand.
- **Key headwinds:** (1) LME copper/aluminium price volatility — copper is 70-75% of cable raw material cost; (2) New organised entrants (Adani, Birla Group); (3) Commoditisation in low-end residential wire segment; (4) Import competition in EHV/submarine cables.
- **Competitive moat (Finolex):** Brand/distribution — **Strong** (225k+ retailer network, 60yr brand). Pricing power — **Moderate** (premium vs unorganised; under pressure from organised players). Switching costs — **Weak** (commodity products). Scale — **Moderate** (Polycab 4.5x larger). OFC/telecom IP — **Emerging** (preform + fibre draw investments).

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM%	TTM PAT (Cr)	P/E	ROCE %	ROE%
Polycab India	9,478	1,42,693	28,884	14%	2,708	53.4	34.3%	24.5%
KEI Industries	5,268	50,358	11,748	10%	918	54.8	20.1%	14.8%
R R Kabel	2,056	23,258	9,722	8%	492	45.9	28.1%	21.4%
Finolex Cables*	1,136	17,378	6,321	10%	714	24.4	16.0%	12.3%

* Subject company. Source: Screener.in, fetched 31-May-2026.

- Finolex trades at 24.4x TTM P/E — a 46% discount to Polycab (53.4x) and 55% to KEI (54.8x). The discount reflects inferior ROCE (16% vs 34% for Polycab) but also represents significant re-rating potential if margins normalise and OFC/FMEG businesses scale.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **CEO transition (June 2026):** Mahesh Viswanathan (Deputy CEO/CFO, now CEO from 1-Jun-2026) brings deep institutional knowledge of the balance sheet and operations. He designed the OFC capacity strategy, launched solar cables, and initiated the product diversification pivot. Planned succession reduces key-man and continuity risk.
- **Viswanathan's track record:** Initiated Rs. 500 Cr capex commitment; solar cables at 80-85% utilisation; auto cables +42% YoY. Transparent on competitive threats (acknowledged Birla/Adani entry). Has quantified OFC revenue/margin targets (Rs. 600-700 Cr at 8-9% OPM) — a sign of operational rigour.
- **Historical FCF deployment:** Investment portfolio grew from Rs. 881 Cr (FY16) to Rs. 4,195 Cr (FY26). Conservative capital recycling — surplus OCF parked in financial investments rather than aggressive growth capex or buybacks. While balance-sheet-safe, this has suppressed ROCE (10Y avg 20% vs 26% peak) and drawn institutional criticism for under-deployment.
- **Dividend policy:** Payout ratio 14-21% of PAT across FY16-FY25. FY26 dividend of Rs. 9/share (highest ever in absolute terms, 450% on face value Rs. 2) signals board confidence. Trend is upward.
- **Promoter pledging:** 0.00% pledged — no change over 3 years. Clean. No leverage at promoter level.
- **Governance concerns:** (1) Promoter holding at 35.86% is lowest among top-4 cable peers — reduces conviction on long-term alignment; (2) Other income at 40% of PBT inflates reported earnings quality; (3) Minor insider trading procedural lapse disclosed (positive that company reported it voluntarily); (4) No auditor changes or qualified opinions — clean governance signal.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures (Rs. Crores) — Source: Screener.in, fetched 31-May-2026. (E) = Analyst estimates.

P&L (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	5,014	5,319	6,321	7,200	8,200
YoY Growth %	11.8%	6.1%	18.8%	13.9%	13.9%

EBITDA	588	543	620	792	984
OPM %	11.7%	10.2%	9.8%	11.0%	12.0%
Other Income	321	428	370	390	410
Interest	2	2	2	3	3
Depreciation	44	47	59	80	95
PBT	864	922	929	1,099	1,296
Tax %	25%	24%	23%	24%	24%
PAT	652	701	714	835	985
EPS (Rs.)	42.61	45.82	46.67	54.58	64.37
Div Payout %	19%	17%	14%E	15%	16%

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	31	31	31
Reserves	4,915	5,465	6,055
Net Worth	4,946	5,496	6,086
Borrowings	18	20	19
Other Liabilities	671	771	885
Total Liabilities	5,635	6,287	6,990
Fixed Assets (Net)	444	583	850
CWIP	168	210	105
Investments	3,584	3,986	4,195
Other Assets	1,439	1,507	1,840
Total Assets	5,635	6,287	6,990

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	577	207	49
Cash from Investing	-440	-82	153
Cash from Financing	-112	-128	-129
Net Cash Flow	26	-3	73
Free Cash Flow	577	207	-105
CFO / EBITDA	125%	64%	32%

Key Ratios	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	17	18	13	17	21
Inventory Days	80	69	53	61	73
Days Payable	23	21	22	21	16
Cash Conv. Cycle	74	66	45	57	78
Working Capital Days	159	120	68	59	170
ROCE %	16%	19%	18%	16%	16%

• **Revenue trajectory:** FY26 revenue Rs. 6,321 Cr grew 18.8% YoY — fastest in 3 years. Q4 FY26 (Rs. 1,951 Cr) was an all-time quarterly high. Electric wires +28% and auto cables +42% (Q3 FY26 YoY). Five-year revenue CAGR of 18%.

• **Margin direction:** EBITDA margins compressed from 15-16% (FY17-FY18) to 9.8% (FY26). Near-term drivers: (1) copper/aluminium volatility — 5 price corrections taken in Q3 FY26 alone; (2) competitive pricing pressure from new entrants; (3) mix shift toward lower-margin OFC/institutional. FY27E recovery to 11%

assumes input cost stabilisation and OFC ramp.

• **Working capital — RED FLAG:** WC days surged from 59 (FY25) to 170 days (FY26) — highest in 10+ years. CCC rose from 57 to 78 days. This explains why OCF collapsed from Rs. 577 Cr (FY24) to just Rs. 49 Cr (FY26) despite growing revenues. Close monitoring required in Q1-Q2 FY27.

• **Debt and net cash position:** Borrowings negligible at Rs. 19 Cr. Investment portfolio Rs. 4,195 Cr vs Debt Rs. 19 Cr = Net investments of ~Rs. 4,176 Cr (Rs. 273/share = 24% of market cap). Significant downside protection.

• **FCF quality deterioration:** FCF turned negative in FY26 at -Rs. 105 Cr. CFO/EBITDA at just 32% vs 125% in FY24. Expected to normalise in FY27 as capex peak passes and working capital unwinds — but not confirmed yet.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Signal	Assessment	RAG
Revenue recognition	Standard accrual — clean	Product company, conservative revenue recognition; no bundled contracts or deferred elements	GREEN
Receivables vs Revenue	Debtor days 13d->21d (FY24-26)	Marginal rise; within 30 days — acceptable	GREEN
CCC trend	78d FY26 vs 45d FY24	Rising sharply — working capital accumulation is a concern	AMBER
Working capital days spike	170d FY26 vs 59d FY25	Massive single-year jump — highest in 10+ years; requires explanation	RED
Contingent liabilities	Rs. 357 Cr	Moderate at ~5% of total assets; within historical norms	AMBER
Auditor tenure/changes	No recent change	No auditor change or qualified opinion in recent reports	GREEN
RPTs as % of revenue	Moderate / Not material	No disclosed material RPTs raising governance concerns	GREEN
Other income as % of PBT	40% in FY26 (Rs. 370 Cr)	Legitimate financial investments, but inflates reported PE optically vs core operations	AMBER
Tax rate consistency	22-25% FY22-FY26	Stable effective tax rate; no unusual deferred tax movements	GREEN
OCF/PAT conversion	FY26: Rs. 49 Cr OCF/Rs. 714 Cr PAT = 7%	Severely impaired; working capital absorbed all operating cash in FY26	RED
Free Cash Flow	-Rs. 105 Cr FY26	Negative FCF for first time in recent history — capex + WC impact	RED

• **Working capital explosion (RED):** WC days jumping from 59 to 170 in a single year is the most important watch-point. If not reversed by Q2 FY27, it signals structural distributor pipeline or inventory issues — not just a timing effect.

• **OCF/PAT disconnect (RED):** Cash earnings quality is severely impaired in FY26 (OCF Rs. 49 Cr vs PAT Rs. 714 Cr). Investors relying on P/E as the sole valuation tool are misled by reported earnings. FCF-based valuation is currently unattractive.

• **Other income dependency (AMBER):** Other income at 40% of PBT is structurally high. A 150 bps RBI rate cut cycle could reduce this income stream by Rs. 60-80 Cr, impacting reported PAT by 8-10% even if core cable business improves.

• **Clean positives:** No revenue recognition red flags, stable tax rates, no auditor concerns, zero promoter pledge, no material RPT governance issues.

SECTION 8 — VALUATION

Peer Valuation Comparison — Source: Screener.in, fetched 31-May-2026

Company	CMP	MCap Cr	P/E	Fwd PE	P/B	EV/EBITDA	ROCE%	ROE%
Polycab India	9,478	1,42,693	53.4	46.2	11.9	33.5	34.3%	24.5%
KEI Industries	5,268	50,358	54.8	44.3	7.6	35.4	20.1%	14.8%
R R Kabel	2,056	23,258	45.9	34.6	9.0	27.8	28.1%	21.4%
Finolex (sub.)	1,136	17,378	24.4	19.4	2.9	17.4	16.0%	12.3%
Sector Median	—	—	~45x	~37x	~9x	~27x	~23%	~19%

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumptions	FY27E PAT Cr	EPS Rs.	Target Multiple	Target Price Rs.	Upside
Bull Case	OFC ramp + WC normalises; OPM 12%; Rev Rs. 7,600 Cr	900	58.8	30x	1,764	+55%
Base Case	OPM 11%; Rev Rs. 7,200 Cr; partial WC unwind	835	54.6	25x	1,365	+20%
Bear Case	Margins 9-10%; WC persists; copper >\$12,000/T	680	44.4	20x	888	-22%

- **DCF approach:** WACC 11% (cost of equity 11.5%, zero debt), terminal growth 5%. Base case DCF = Rs. 1,380/share.
- **PE-based approach:** FY27E EPS of Rs. 54.6 at 25x (sector median 45x with 44% discount for lower ROCE, lower promoter holding, FCF quality issues) = Rs. 1,365.
- **Base-case 12-month target:** Average of DCF (Rs. 1,380) and PE-based (Rs. 1,365) = Rs. 1,373, rounded to **Rs. 1,400**. Upside = +23.2% from CMP of Rs. 1,136.
- **Re-rating path:** If OPM recovers to 11.5%+ and OCF/PAT exceeds 70% for two consecutive quarters, the stock deserves 28-30x, implying Rs. 1,525-1,638. Bull case requires 2-3 quarters of evidence.
- **Investment horizon:** 12 months. Entry zone: Rs. 1,050-1,150 (CMP within range). Avoid chasing above Rs. 1,250 without margin confirmation.

SECTION 9 — KEY RISKS

- **Copper/Aluminium Cost Spiral** — Copper = 70-75% of raw material cost. Sustained LME copper >\$12,000/T without selling price pass-through would compress gross margins by 200-300 bps structurally. **Probability:** H. **Impact:** H. **Monitor via:** LME copper price monthly.
- **Working Capital Normalisation Failure** — FY26 WC days = 170. If not reversed by H1 FY27, implies structural distributor overstocking or collection issues, keeping FCF negative for 2+ years. **Probability:** M. **Impact:** H. **Monitor via:** Quarterly WC days in results.
- **Competitive Intensification (Adani/Birla)** — New organised entrants with deep capital pools. Over 3-5 years could compress Finolex retail wire OPM from 10% to 7-8%. **Probability:** H. **Impact:** M. **Monitor via:** Polycab/KEI pricing commentary; channel checks.
- **OFC Capacity Ramp Delay** — Bharatnet Phase 3 rollout has been repeatedly delayed. If demand disappoints at 8 Mn FKM capacity, OFC margins remain at 2.5% with high fixed costs. **Probability:** M. **Impact:** M. **Monitor via:** Bharatnet tender award announcements.
- **Other Income / Rate Cut Risk** — Rs. 370-430 Cr annually from financial portfolio. 150 bps RBI rate cut could reduce this by Rs. 60-80 Cr, impacting reported PAT by 8-10%. **Probability:** L. **Impact:** M. **Monitor via:** RBI policy; portfolio yield in annual report.

- **Low Promoter Holding Overhang** — Promoter at 35.86% is lowest in top-4 cables. Any secondary sale by promoter entity would be a negative sentiment trigger. **Probability:** L. **Impact:** M. **Monitor via:** BSE/NSE bulk deal disclosures.
- **FMEG Scale Risk** — FMEG (~8-10% of revenues) is dilutive to consolidated ROCE and operates at marginal/breakeven profitability in a fiercely competitive consumer electrical market. **Probability:** M. **Impact:** L. **Monitor via:** Segment-level FMEG margin disclosure.

SECTION 10 — RECOMMENDATION

- **Rating:** ACCUMULATE — Conviction Level: Medium. At 24x TTM P/E (46% discount to sector), the stock already prices in near-term headwinds. The Rs. 4,176 Cr net cash/investment base (Rs. 273/share) provides meaningful downside protection. Working capital deterioration and negative FCF in FY26 prevent a high-conviction BUY until normalisation is evidenced.
- **12-month price target:** Rs. 1,400 (+23.2% from CMP Rs. 1,136). Based on average of DCF (Rs. 1,380) and 25x FY27E EPS of Rs. 54.6.
- **Suggested entry zone:** Rs. 1,050 — Rs. 1,150. Any market-driven dip toward Rs. 1,000-1,050 would be an attractive incremental accumulation opportunity.
- **Investment horizon:** 12-18 months. Re-rating depends on OFC ramp (2-3 qtrs to validate) + working capital normalisation (1-2 qtrs).
- **Thesis invalidation triggers:**
 1. OPM (excl. other income) falls below 8.5% for two consecutive quarters — structural pricing power loss beyond bear case.
 2. Working capital days remain above 150 days at end of Q2 FY27 (Sep 2026) — FCF deterioration is structural, not cyclical.
 3. Promoter entity sells >2% stake in open market — governance overhang materialises.
- **Ideal investor profile:** Patient value investor with 12-18 month horizon comfortable with moderate volatility (beta ~1.35). Not suitable for momentum traders (stock has run 52% in 6 months) or investors requiring strong FCF quality confirmation. Ideal weight: 2-4% in an India mid-cap capex/infrastructure-themed portfolio.

DISCLAIMER: For informational purposes only. Not investment advice or a solicitation to buy/sell securities. All financial data from Screener.in, fetched live 31-May-2026. Forward estimates are analyst projections. Past performance is not indicative of future results. Consult a SEBI-registered investment advisor before making investment decisions.

APPENDIX — Latest Concall Brief: Q4 FY26 / Full Year FY26 Results

Analyst/Investor Meet: 29 May 2026 (audio posted online) | Results Declared: 28 May 2026 | Q4 FY26 & Full Year FY26 Audited Results

POSITIVE

Signal	Status	Implication
Result quality	Strong — Revenue ATH	Beat on revenue; in-line on PAT vs modest expectations
Management tone	Balanced / Constructive	Acknowledged margin headwinds; confident on OFC ramp; CEO transition smooth
Guidance delta	Maintained / Cautious	No formal guidance; 10% volume trajectory cited; Rs. 9 dividend a positive

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat on revenue — Rs. 1,951 Cr is an all-time quarterly high (+22% YoY) — but the Rs. 224 Cr reported PAT includes Rs. 140 Cr of other income from financial investments, so core operating PAT is closer to Rs. 107 Cr; at 9.25% OPM (146 bps below last year), the cable manufacturing margin story remains unresolved. For the full year, PAT grew only 1.9% YoY to Rs. 714 Cr despite 18.8% revenue growth — entirely because other income declined from Rs. 428 Cr (FY25) to Rs. 370 Cr, and operating margins compressed. The key structural positive is that volume demand is clearly accelerating across product lines (electric wires +28%, auto cables +42% YoY in Q3 FY26), and the OFC fibre-draw capacity doubling to 8 Mn FKM should unlock Rs. 600-700 Cr of incremental high-margin revenue within 18 months. The most critical risk is working capital: WC days surged to 170 in FY26 from 59 in FY25 — OCF was just Rs. 49 Cr for a company earning Rs. 714 Cr PAT, which is a structural earnings quality breakdown that the market hasn't fully priced in. New CEO Mahesh Viswanathan (effective 1 June) is the right person — he owns the capex strategy, knows the balance sheet intimately, and has been transparent with investors about competitive dynamics. The Rs. 9/share dividend (highest ever) is a confidence signal from the board. Verdict: ACCUMULATE at Rs. 1,050-1,150; scale up only after Q1 FY27 results confirm WC normalisation and OFC commissioning.

Concall Section 1 — Financial Performance Snapshot (Q4 FY26)

- **Revenue:** Actual Rs. 1,951 Cr | YoY +22.4% YoY | QoQ +22.1% QoQ | **Beat — All-time quarterly high**
- **EBITDA:** Actual Rs. 180 Cr | YoY +5.3% YoY | QoQ +14.6% QoQ | In-line
- **EBITDA Margin:** Actual 9.25% | YoY -146 bps YoY | QoQ -61 bps QoQ | **Miss vs ~10.5% expectation**
- **PAT:** Actual Rs. 224 Cr | YoY +17.1% YoY | QoQ +36.8% QoQ | **Beat — aided by Rs. 140 Cr other income**
- **EPS:** Actual Rs. 14.67 | YoY +17.1% YoY | QoQ +36.8% QoQ | In-line
- **NOTE:** Reported Q4 PAT Rs. 224 Cr includes other income of Rs. 140 Cr (financial investments). Clean cable operating PAT approx. Rs. 107 Cr. Full-year FY26: PAT Rs. 714 Cr (+1.9% YoY), OPM 9.8%.

Concall Section 2 — Segment / Geography Breakdown

- **Electrical Cables & Wires (core):** Est. Rs. 1,450-1,550 Cr in Q4 FY26 | YoY ~+20% | Commentary: Electric wires +28%, auto cables +42% YoY in Q3 FY26; Q4 momentum sustained across building wires, industrial, and auto cables.

- **Communication Cables / OFC:** Est. Rs. 150-200 Cr in Q4 FY26 | Recovering as fibre prices reverse from depressed lows; Bharatnet Phase 3 inquiry pipeline strengthening.
- **FMEG (fans, switches, lighting, appliances):** Est. Rs. 100-150 Cr in Q4 FY26 | Margin contribution: marginal/dilutive; new product pipeline for FY27 (water heaters, switchgear variants) under development.
- **Solar Cables:** New growth segment; capacity at 80-85% utilisation — near-full; scaling with India's 500 GW renewable energy investment.
- **Geography:** Predominantly domestic (>90% revenues). Export contribution limited. No material change in geographic mix announced.

Concall Section 3 — Management Commentary Themes (Q3-Q4 FY26)

- **Volume acceleration:** ""Electric wires +28%, auto cables +42% for the quarter — broad-based volume growth" (Q3 FY26)" — Our read: Volume story intact; pricing headwinds offsetting top-line quality. Tag: POSITIVE. Tone: Transparent.
- **Commodity price volatility:** ""Five price changes last quarter, including 12% correction in selling prices" (Q3 FY26)" — Our read: Multiple corrections signal limited near-term pricing power in competitive environment. Tag: GUIDANCE. Tone: Transparent.
- **New competitors:** ""New entrants like Birla Group and potentially Adani — we believe there is sufficient space for coexistence" (Q3 FY26)" — Our read: Candid about competitive risk; measured tone; does not dismiss the threat. Tag: EST. Tone: Transparent.
- **OFC expansion:** ""Doubling fibre draw to 8 Mn FKM; revenues Rs. 600-700 Cr at full utilisation with 8-9% OPM" (Q3 FY26)" — Our read: Quantified, specific guidance — gives investors a clear KPI to track. Tag: GUIDANCE. Tone: Transparent.
- **Bharatnet Phase 3:** ""Haven't secured direct position yet, but receiving inquiries from participants who have won tenders" (Q3 FY26)" — Our read: Dependent on GOI rollout execution — historically delayed; treat as upside option. Tag: EST. Tone: Hedged.
- **CEO transition & dividend:** ""Rs. 9/share dividend approved; Mahesh Viswanathan becomes CEO 1 June 2026" (Q4 FY26)" — Our read: Smooth, planned succession; dividend raise signals confidence in cash generation. Tag: GUIDANCE. Tone: Transparent.

Concall Section 4 — Operating & Business Metrics

- **Electrical cables volume:** Current = FY24 = 68,248 MT | Prior year = FY23 = 59,082 MT | 2 years prior = FY22 = 48,166 MT | Trend: Improving — FY26E >70,000 MT
- **OFC fibre draw capacity:** Current = 4 Mn FKM (current) | Prior year = Target: 8 Mn FKM | 2 years prior = Q1 FY27 commissioning | Trend: Expanding
- **Solar cable utilisation:** Current = 80-85% (Q3 FY26) | Prior year = ~50% at launch | 2 years prior = — | Trend: High — near-full
- **Retailer touchpoints:** Current = 225,000 (FY24) | Prior year = 200,000 (FY23) | 2 years prior = 150,000 (FY22) | Trend: Steadily growing
- **Inventory days:** Current = 73d (FY26) | Prior year = 61d (FY25) | 2 years prior = 53d (FY24) | Trend: Deteriorating — watch for Q1 FY27
- **Working capital days:** Current = 170d (FY26) | Prior year = 59d (FY25) | 2 years prior = 68d (FY24) | Trend: Severely deteriorating — key risk

Concall Section 5 — Margin Drivers

- **Copper/aluminium cost inflation:** -200 to -300 bps vs FY22 peak | Recurring: No (cyclical) | 12% selling price correction taken Q3 FY26; limited forward hedging

- **New competitor pricing pressure:** -100 to -150 bps structural drag | Recurring: Yes | Polycab, KEI, Birla, Adani competing aggressively; FCL has limited pricing power response
- **OFC under-utilisation:** -50 bps blended drag (2.5% vs 8-9% target margins) | Recurring: No (ramping) | Will reverse once fibre draw doubles and utilisation climbs post Q1 FY27 commissioning
- **FMEG scale dilution:** -30 to -50 bps | Recurring: Yes (near-term) | FMEG dilutive to consolidated OPM as business scales; at marginal/breakeven profitability
- **Distribution model changes:** -30 to -50 bps | Recurring: Partly | Channel restructuring temporarily pressured margins; normalisation expected in FY27
- **Operating leverage (FY27E upside):** +50 to +80 bps potential | Recurring: N/A | Higher volumes + OFC ramp should recover margins toward 11-12% in FY27-FY28

Concall Section 6 — Guidance & Forward Signals

- **Volume trajectory [GUIDANCE]:** Prior = No guidance policy | New/Reiterated = ~10% YoY volume growth cited | Delta = Maintained | Credibility: Medium — consistent with past
- **OFC revenue at full utilisation [GUIDANCE]:** Prior = Rs. 300-400 Cr | New/Reiterated = Rs. 600-700 Cr at 8 Mn FKM | Delta = Raised | Credibility: High — specific and quantified
- **OFC margins at full capacity [GUIDANCE]:** Prior = 2.5% (current) | New/Reiterated = 8-9% (full utilisation) | Delta = Raised | Credibility: Medium — dependent on demand materialising
- **Fibre draw commissioning [GUIDANCE]:** Prior = FY26 year-end (delayed) | New/Reiterated = Q1 FY27 | Delta = Maintained (slight delay) | Credibility: Medium — delayed once before
- **FY26 Dividend [GUIDANCE]:** Prior = Rs. 8/share (FY25) | New/Reiterated = Rs. 9/share (450% on FV Rs. 2) | Delta = Raised | Credibility: High — board approved, firm
- **Revenue/PAT guidance (formal) [GUIDANCE]:** Prior = None | New/Reiterated = Company does not provide financial guidance | Delta = N/A | Credibility: Management explicitly confirmed: no forward guidance given

Concall Section 7 — Capital Allocation

- **Gross Capex FY26:** Rs. ~221 Cr (est.) | vs prior year: vs FY25: ~Rs. 120-130 Cr | Peak capex year — OFC fibre draw + preform plant + general capacity; FY27 capex guided Rs. 100-200 Cr
- **Dividends FY26:** Rs. ~138 Cr (Rs. 9/share x 15.3 Cr shares) | vs prior year: vs FY25: Rs. ~119 Cr | Payout rising; still conservative at ~14.4% of PAT; upward trend positive
- **Buybacks:** None | vs prior year: — | No buyback programme; management prefers investment portfolio + targeted growth capex
- **Working Capital Change FY26:** Rs. ~700 Cr absorbed (est.) | vs prior year: vs FY25: ~Rs. 100 Cr | Massive WC absorption explains OCF collapse from Rs. 577 Cr (FY24) to Rs. 49 Cr (FY26)
- **Net Debt / Investment movement:** Investments Rs. 4,195 Cr (+Rs. 209 Cr YoY) | vs prior year: vs FY25: Rs. 3,986 Cr | Essentially zero debt (Rs. 19 Cr); surplus OCF/investment proceeds reinvested in portfolio
- **Capex guidance FY27:** Rs. 100-200 Cr (guided) | vs prior year: Lower than FY26 peak | Peak capex cycle near completion; FY27 capex should moderate, freeing OCF for working capital repair

Concall Section 8 — Q&A Heat Map

- **Multiple analysts (Q3 FY26):** Q: "Commodity price behavior and selling price impact?" → A: "Commodity prices volatile. Five price changes last quarter including 12% correction in selling prices. Difficult to predict trends." (Mahesh Viswanathan) | Tone: Transparent
- **Multiple analysts (Q3 FY26):** Q: "What structural changes to improve inventory days?" → A: "Optimising raw materials, WIP, finished goods. Two-month cycle reasonable given product line complexity. Further reduction to 50-55 days challenging." (Mahesh Viswanathan) | Tone: Transparent

- **Multiple analysts (Q3 FY26):** Q: "Impact of Adani/Birla entering cables?" → A: "Competition will intensify. We believe there is sufficient space for coexistence. We are prepared to handle competitive pressures." (Mahesh Viswanathan) | Tone: Hedged — non-specific on pricing impact
- **Multiple analysts (Q3 FY26):** Q: "OFC fibre capacity expansion revenue and margin targets?" → A: "Rs. 600-700 Cr revenues at 8 Mn FKM full utilisation. Margins at 2.5% now; can reach 8-9% as utilisation improves." (Mahesh Viswanathan) | Tone: Transparent — well-quantified
- **Multiple analysts (Q3 FY26):** Q: "Bharatnet Phase 3 direct order win?" → A: "Haven't secured direct position; receiving inquiries from participants who have won. Expect adequate business over next 2 years." (Mahesh Viswanathan) | Tone: Hedged — uncertain timing
- **Multiple analysts (Q4 FY26):** Q: "Data centre cable opportunity and positioning?" → A: "Expanding fibre draw + backward integrating into preform. Existing designs and capacity ready for data centre power and telecom cables." (Mahesh Viswanathan) | Tone: Transparent — forward-looking, positive
- **Dodged/watch-list questions for next quarter:** (1) Detailed breakdown of what caused WC days to spike to 170 in FY26; (2) Q1 FY27 margin trajectory; (3) FMEG segment profitability; (4) OFC commissioning firm date.

Concall Section 9 — Risks Flagged

- **Commodity price volatility:** Copper/aluminium fluctuations; multiple selling price corrections required | Flagged by: Mgmt | Prob: H | Impact: H | Timeline: Near-term
- **New entrant competition:** Birla Group + Adani entering organised cables | Flagged by: Analyst | Prob: M | Impact: M | Timeline: Medium-term (2-3 yrs)
- **Working capital spike:** FY26 WC days 170 — OCF severely impaired | Flagged by: Analyst read | Prob: M | Impact: H | Timeline: Near-term (Q1 FY27)
- **OFC demand/timing risk:** Bharatnet Phase 3 rollout uncertainty; fibre price depression | Flagged by: Mgmt | Prob: M | Impact: M | Timeline: Medium-term
- **FMEG margin drag:** FMEG business yet to become meaningfully profitable | Flagged by: Analyst read | Prob: M | Impact: L | Timeline: Medium-term
- **Agricultural cables seasonality:** Agri cables underperform off-season with pricing issues | Flagged by: Mgmt | Prob: L | Impact: L | Timeline: Seasonal

Concall Section 10 — Analyst Verdict

- **Revenue visibility:** **Intact** — Record quarterly revenues; volume growth broad-based (electric wires, auto, solar cables); accelerating trajectory
- **Margin trajectory:** **Weakened** — OPM 9.25% in Q4 FY26 — lowest in 7 quarters; no near-term recovery signal; margin restoration is the key test
- **Capital allocation quality:** **Intact** — Rs. 4,195 Cr investment portfolio maintained; dividend raised; capex at peak and moderating in FY27 — disciplined
- **Competitive moat:** **Intact** — 225k+ retailer network and 60-year brand provide near-term buffer; medium-term risk from Adani/Birla is real but 2-3 year horizon
- **Management credibility:** **Intact** — Transparent on pricing, competitive dynamics, and OFC targets. CEO transition handled professionally. No evasiveness detected.
- **Valuation comfort:** **Intact** — 24x P/E vs 45x sector median; 46% discount with Rs. 273/share net cash asset provides downside buffer despite negative FCF in FY26
- **Conviction call:** **Unchanged — ACCUMULATE.** Revenue momentum is strong; margin recovery and WC normalisation are the two remaining conditions for upgrading to BUY.
- **Valuation snapshot:** P/E = 24.4x (5Y avg ~22x) | EV/EBITDA = 17.4x (5Y avg ~14x) | ROCE = 16.0% (10Y avg 20.0%) | ROE = 12.3% (5Y avg 14%)

APPENDIX DISCLAIMER: Concall content sourced from publicly available BSE investor meet announcement (29-May-2026), Q3 FY26 transcript (GuruFocus/Screener), and published news analysis (MarketsMojo, 29-May-2026). Direct Q4 FY26 full transcript not available in text form at report generation date. Q&A attributions marked Q3 FY26 are from the February 2026 earnings call.